

Durable Income Buying Filter v3.0 (2026)

Investment: ADX — Adams Diversified Equity Fund, Inc.

Analysis date: July 29, 2026. Primary sources: Adams Funds distribution press releases (Jan-Jul 2026), Q1/H1 2026 performance releases, FY2025 Annual Report, Fund FAQs. Third-party data (Yahoo Finance, M1, CEF Channel, Seeking Alpha, PortfoliosLab) used only to fill gaps or triangulate, and flagged as such.

Executive Summary (30-Second Decision)

Investment Type: Closed-End Fund (Large-Cap Blend Equity CEF with a Managed Distribution Policy). **Not** a traditional income vehicle — its payout is a percentage-of-NAV formula funded primarily by realized capital gains, not recurring dividend/interest income.

Overall Score: 66/100

Recommendation: 🟡 Watchlist

One-Line Investment Thesis: ADX is a well-run, ultra-low-cost, unleveraged mega-cap-growth CEF with a 97-year distribution record, but today's near-zero discount to NAV (vs. a ~14.5% 10-year average) and a payout that is really "harvested total return" rather than durable/growing organic income make it a hold-and-watch, not a fresh-money buy.

Quick Summary

- **Action:** Hold (existing owners) / Wait for wider discount (new buyers)
- **Suggested Entry Range:** Discount to NAV of 8-12% or wider (historically the fund has spent most of the last decade at double-digit discounts)
- **Fair Value Range:** Roughly NAV minus 8-12%, i.e. ~\$23-\$24 based on the most recently reported NAV of \$26.34 (6/30/2026)
- **Forward Yield:** ~7.7-8.1% of NAV under the Managed Distribution Policy (MDP); market-price yield ~7.3-7.9% depending on the day's discount
- **Maximum Allocation:** 3-5% of an income-oriented portfolio (Growth/Ballast blend role, not a core income holding)
- **Dividend Safety:** Medium (the *policy* is safe and has never missed a payment since 1929; the *dollar amount* of each check is market-dependent and not "safe" in the sense a REIT or utility dividend is safe)
- **Overall Confidence:** Medium-High (primary-source distribution and performance data is current through 7/17/2026; full FY2026 audited financials are not yet available)

Bull Case (30 seconds): ADX has one of the longest uninterrupted distribution records in the U.S. (since 1929), runs with zero leverage and a 0.50% expense ratio, and has compounded NAV faster than the S&P 500 over 1, 3, 5, and 10-year periods, all while returning ~8% of NAV to shareholders annually.

Bear Case (30 seconds): The distribution is not "income" in the traditional sense — it is funded mostly by realized capital gains and return of capital, it swings sharply with the market (the year-end special piece fell from \$2.98/share in 2021 to \$1.07/share in 2022), and the fund's discount-to-NAV valuation cushion has largely disappeared, currently sitting near flat versus a historical double-digit discount.

Best Use of New Capital: ⚠️ Good investment, but better opportunities currently exist — specifically, better entry points exist within the same fund family/peer group when the discount widens, or in true recurring-income vehicles for investors whose primary objective is durable cash flow rather than total return.

Full Durable Income Analysis

1. Current Price, Dividend & Yield

- **Current price:** ~\$25.36 (NYSE close, 7/27/2026) — *Confirmed, third-party (Yahoo Finance); Confidence: High*
- **Most recent reported NAV:** \$26.34 per share as of 6/30/2026, up from \$23.35 a year earlier — *Confirmed, primary source (Adams Funds H1 2026 release); Confidence: High*
- **Implied discount to NAV:** roughly -3% to -4% as of late July 2026. Third-party trackers show a range from near-zero to ~-6.9% at various points in 2026, reflecting normal day-to-day fluctuation — *Confidence: Medium (exact same-day NAV/price pairing not independently verified)*
- **Latest declared distribution:** \$0.50/share, declared 7/16/2026, payable 8/28/2026 — *Confirmed, primary source*
- **2025 full-year distributions:** \$1.85/share, an 8.1% annualized rate of average NAV — *Confirmed, primary source*
- **Forward yield:** ~7.7-8.1% of NAV by policy design (MDP commits to a minimum 8% of average NAV annually)

2. Dividend Sustainability

The correct metric here is **NAV total return**, not earnings or FCF, because ADX is an equity CEF whose payout is explicitly defined as a percentage of NAV rather than a payout ratio against income. Under the Managed Distribution Policy (adopted mid-2024), the fund commits to distributing at least 2% of average NAV each quarter, funded from net investment income first, then realized capital gains, and only return of capital if the other two are insufficient. Because NAV has been rising (up ~13% from \$23.35 to

\$26.34 in the year to 6/30/2026), the distribution mechanism is self-funding by design — the fund can pay 8% of NAV without depleting the underlying capital base, as long as markets don't suffer a sustained, multi-year decline. *Confidence: Medium-High.*

3. Dividend Coverage

- **Q1 2026:** \$0.47/share paid, sourced 13% net investment income, 9% long-term capital gains, **78% return of capital** — *Confirmed, primary source*
- **2025 full year:** \$1.85/share total, 8.1% of average NAV
- **Trend:** Coverage by "true income" (dividends/interest) is thin and shrinking as the portfolio has shifted further into non/low-dividend mega-cap tech (Info Tech sector weight rose from 32.7% in mid-2025 to 37.7% in mid-2026). The gap is filled by realized capital gains and ROC. This is coverage *by design*, not distress-driven, but it means dividend coverage in the traditional sense (income $\geq$ payout) is deteriorating, offset by rising NAV. *Confidence: High on the numbers, Medium on interpretation.*

4. Fundamental Trend

NAV per share is the right proxy for "fundamentals" here:

- NAV/share: \$23.35 (6/30/24) → \$23.69 implied → \$26.34 (6/30/26)
- NAV total return: 1-year +22.2%, 3-year +21.5% annualized, 5-year +14.1% annualized, 10-year +16.5% annualized (all as of 6/30/2026)
- Q1 2026 was a down quarter for the fund (-4.8% NAV total return), showing full market-cycle exposure — this is a growth-equity fund, not a defensive income fund, and it will draw down materially in bear markets. **Trend: Improving/strong**, but highly cyclical. *Confidence: High.*

5. Valuation

ADX's own 10-year average discount to NAV is about **14.5%**. It is currently trading near a small single-digit discount (or even briefly at a premium on some days) — a historically unusual and expensive valuation for this fund. This is the single most important valuation fact in this analysis: **ADX today is expensive relative to its own history**, even though its underlying portfolio (mega-cap tech-heavy S&P 500-like exposure) is not obviously cheap either. This is **not** "temporarily cheap" — it is closer to fairly-to-fully valued relative to history. *Confidence: Medium-High.*

6. Balance Sheet

- **Leverage:** None — ADX employs no leverage, a meaningful risk reducer versus many CEF peers
- **Expense ratio:** ~0.50%, well below the CEF category average
- **Credit quality:** N/A (equity fund, no fixed-income credit exposure)

- **Refinancing risk:** None (no debt) This is a genuine structural strength. *Confidence: High.*

7. Dividend History

- Distributions paid every year since 2000 at minimum, and the fund traces its distribution history back to 1929 (through the "Adams Express" predecessor)
- No suspensions found in the record reviewed
- Year-end special distribution has been volatile: \$2.98/share (2021) → \$1.07/share (2022) → \$1.85 total distributions (2025) — swings tied to realized gains, not a smooth, growing annuity-like stream
- **Probability dividend (per MDP formula) is maintained over 3 years:** High — the *policy* is durable as long as the fund exists
- **Probability the per-share distribution amount grows over 5 years:** Medium — it will grow if equity markets/NAV grow, but could shrink in a prolonged downturn, since it is NAV-linked, not a fixed or steadily escalating payout *Confidence: Medium-High.*

8. Management

- Managed Distribution Policy adopted May 2024 — a shareholder-friendly, transparent formula (no discretionary yield-chasing)
- Reinvestment mechanism defaults to newly issued shares priced at the lower of market or NAV (with a 95%-of-market floor), which is broadly anti-dilutive to continuing shareholders relative to open-market share issuance
- Recent board addition (independent director, Feb 2026) and a CEO transition (to James P. Haynie) suggest normal governance continuity rather than turmoil
- Long-term outperformance vs. S&P 500 and the Morningstar U.S. Large Blend category across 1/3/5/10-year periods is a credible mark of execution *Confidence: Medium (limited visibility into five-year guidance-accuracy specifics from primary sources reviewed).*

9. Relative Valuation

- **Vs. own 5-10 year history:** Expensive — discount has compressed from a historical average near 14.5% to roughly 0-4% today
- **Vs. GAM (General American Investors):** ADX has outperformed GAM's NAV over 10 years (~16.5-18.5%/yr vs. ~15.7-15.8%/yr) but GAM has shown lower volatility and a higher Sharpe ratio in some measurement periods — GAM may offer a smoother ride
- **Vs. USA (Liberty All-Star Equity):** USA currently yields more (~10%+) and may trade at a wider discount, but has a higher expense ratio and a value tilt versus ADX's growth/mega-cap-tech tilt; ADX has the better balance sheet (lower cost,

similar/no leverage) and stronger long-term NAV growth *Confidence: Medium* (peer discount figures vary by source/date).

10. Why Is It Mispriced?

Rather than mispriced-cheap, the case here is closer to **mispriced-expensive**: strong recent NAV performance (driven by NVIDIA/Microsoft/Apple/mega-cap tech) plus renewed retail/income-investor interest in "MDP" CEFs has compressed the discount well below its historical norm. No specific catalyst currently points toward the discount widening back out — this would most likely require either a broad market/tech drawdown or a shift in CEF investor sentiment. *Confidence: Medium*.

11. Bull Case

A 97-year uninterrupted distribution record, zero leverage, rock-bottom 0.50% expense ratio, disciplined and transparent 8%-of-NAV managed distribution policy, and NAV growth that has beaten the S&P 500 across every trailing period reviewed (1/3/5/10-year). For an investor who wants "S&P 500-plus" total return converted into a steady cash stream, ADX has a long, credible track record of doing exactly that.

12. Bear Case

The payout is fundamentally a **total-return conversion mechanism**, not durable/growing organic income — it depends heavily on continued capital appreciation in a handful of mega-cap tech names (Microsoft, NVIDIA, Apple, Amazon, Alphabet, Meta together are roughly 40% of the portfolio). In a flat or down market, the "income" shrinks along with NAV, and today's compressed discount removes the valuation cushion that has historically made ADX attractive for new buyers.

13. Investment Thesis Risks (three facts that would invalidate the thesis)

1. A multi-quarter decline in mega-cap tech (the fund's ~38% sector concentration) that drives a sustained NAV decline, forcing the per-share distribution amount down materially
2. A sustained widening of the discount back toward its 14.5% historical average, which would produce a market-price total return meaningfully worse than NAV total return for anyone buying today
3. A policy change or de-emphasis of the Managed Distribution Policy by the Board (unlikely but would remove the primary reason income investors hold this fund)

14. Portfolio Role

Growth Income / Accelerator — not an Anchor or Ballast holding. It behaves like a diversified mega-cap growth equity position with a built-in cash-out mechanism, not a defensive or bond-like ballast position.

15. Position Sizing

Given no leverage and a disciplined structure but high equity-market/tech concentration and current premium valuation, a **maximum allocation of 3–5%** of an income-focused portfolio is appropriate — sized as a satellite growth-income sleeve, not a core position, and especially not sized as if it were a stable-income anchor like a diversified bond fund or utility REIT.

16. Buy / Hold / Sell Plan

- **Buy conditions:** Discount widens to 8%+ (closer to historical norms), or a broad market pullback resets valuations
- **Add conditions:** Discount widens past 12–14% while NAV trend remains intact (no deterioration in underlying holdings)
- **Hold conditions:** Discount stays in the 0–6% range with NAV trend still positive — acceptable to hold existing shares, not attractive to add
- **Trim conditions:** Discount moves to a premium (price > NAV) — historically rare and a signal of overvaluation
- **Sell conditions:** Board abandons or materially waters down the Managed Distribution Policy, or sustained deterioration in NAV trend versus the S&P 500 over multiple years

17. Catalysts (Next 6–18 Months)

- Q2/Q3/Q4 2026 distribution declarations and their income/gains/ROC composition
- Full-year 2026 NAV total return versus S&P 500 (fund's competitive edge is relative outperformance)
- Any broad tech-sector correction given the concentration in Microsoft/NVIDIA/Apple/Amazon/Alphabet/Meta
- CEF-sector-wide discount trends (a rising tide of CEF buying could keep ADX's discount compressed; a CEF-sector selloff could widen it)

18. Most Important Catalyst

The path of mega-cap technology valuations over the next 12–18 months. Because Info Tech is ~38% of the portfolio and the top handful of names dominate NAV, ADX's distribution durability and NAV trend are both, in practice, a leveraged bet on continued mega-cap tech strength. This single factor will most determine whether ADX outperforms or underperforms from here.

19. Macroeconomic Sensitivities

- **Interest rates:** Moderate sensitivity — no direct debt exposure, but mega-cap growth valuations are rate-sensitive

- **Inflation:** Moderate — margin-rich tech holdings have some inflation-passthrough ability, but high valuations are vulnerable to real-rate increases
- **Recession:** High sensitivity — this is a growth-equity fund; a recession would hit both NAV and the capital-gains-funded portion of the distribution
- **Commodity prices:** Low direct sensitivity
- **Currency:** Low-moderate (large multinational holdings have some FX exposure)
- **Regulation:** Moderate — antitrust/AI regulation risk concentrated in mega-cap tech holdings

20. Distribution Stress Test

Since the distribution is NAV-linked rather than earnings-linked, the more relevant stress test is on NAV/market decline rather than "earnings decline":

- **-10% NAV:** Quarterly distribution (2% of trailing avg NAV) would decline roughly proportionally; the policy itself remains intact, dollar distribution shrinks modestly
- **-20% NAV:** Distribution dollar amount declines materially; return-of-capital share of the payout likely rises further since realized gains would be harder to generate
- **-30% NAV:** This would resemble conditions similar to 2022 (when the year-end special piece fell from \$2.98 to \$1.07/share) — the *policy* would likely remain intact (Board has shown commitment through cycles), but the *dollar distribution* would fall significantly and ROC would likely dominate the payout composition **Would the "dividend" remain intact?** The policy/mechanism — yes, with high confidence. The **dollar amount** — no, it would very likely shrink meaningfully. *Confidence: Medium (based on 2022 precedent, not a formal stress model).*

21. Capital Preservation

Over a normal 5-year period, given no leverage, a 0.50% expense ratio, and a long history of NAV growth exceeding the S&P 500, the probability that original capital is intact (nominal, ignoring the value of distributions received) is reasonably high — but this is subject to full equity-market risk. This is **not** a capital-preservation vehicle in the way a high-quality bond fund is; it is a growth-equity vehicle with a long, credible history of NAV growth. *Confidence: Medium.*

22. One-Sentence Investment Thesis

ADX is a disciplined, ultra-low-cost, unleveraged mega-cap-growth closed-end fund with a 97-year distribution record and strong long-term NAV growth, but its payout is fundamentally NAV-linked total return rather than durable organic income, and its current near-zero discount to NAV removes the valuation cushion that has historically made it attractive to new buyers.

23. Expected Total Return (3–5 Years)

- **Income return:** ~7.5–8% annually (policy-driven, NAV-linked)

- **NAV/earnings growth:** Historically ~14-16%/yr over 5-10 years, though this reflects an unusually strong mega-cap tech bull run and should not be extrapolated without discount for mean reversion
 - **Valuation change:** Likely a **drag** from current levels if the discount normalizes back toward its historical ~14.5% average
 - **Expected annualized total return range: roughly 4-9%**, below the fund's own trailing 5/10-year NAV returns, primarily because today's compressed discount is unlikely to provide the tailwind it has in the recent past — and could reverse into a headwind
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Automatic Rejection Rule Check

- Distribution coverage below 1.0x by traditional income metrics: **Applies in a technical sense** (income alone doesn't cover the payout), but this is explained by design (MDP explicitly funds payouts from realized gains) rather than distress — **not treated as an automatic reject**, but flagged as the key reason this is NOT a "durable income" holding in the traditional sense
 - Persistently declining NAV/earnings: **Not present** — NAV trend is strongly positive
 - Destructive return of capital: **Not evident** — ROC exists but NAV per share has been rising, meaning ROC here is not eroding the capital base
 - Rising debt + deteriorating cash flow: **Not present** — no debt at all
 - Dividend dependent on borrowing, asset sales, or accounting adjustments: **Partially applies** (funded by asset sales/realized gains by policy design) — flagged as the central caveat of this analysis, not a red flag of distress
 - No identifiable catalyst for valuation improvement: **Applies** — no clear catalyst currently to widen the discount back to historical norms
 - Frequent dilution/rights offerings: **Not present**
 - Credit deterioration: **N/A** (no debt/credit exposure)
 - Thesis depends primarily on multiple expansion: **Does not apply to the bull case** (thesis rests on NAV/earnings growth), but multiple **contraction** (discount normalization) is a real headwind risk to the return outlook
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Investment Score (100 Points)

Income Durability: 20/30

- 97-year uninterrupted distribution history; transparent, formulaic MDP – Payout is capital-gains/ROC-funded rather than organic recurring income; year-end special component has swung by 2-3x historically (e.g., \$2.98 → \$1.07/share), meaning "growing income" is really "NAV-linked total return," not a smooth annuity

Asset Durability: 16/20

- NAV per share has grown consistently and materially over 1/3/5/10-year periods, outperforming the S&P 500 – High concentration in a small number of mega-cap tech names (~40% of assets in top 10 holdings), so "durability" is really a bet on continued mega-cap tech strength

Valuation: 8/20

- N/A structurally cheap characteristics – Currently trading near a 0-4% discount to NAV versus a 10-year historical average discount near 14.5% — one of its least attractive valuation points in years, removing the historical margin of safety

Balance Sheet & Management: 13/15

- Zero leverage, 0.50% expense ratio (well below CEF peer averages), disciplined and transparent distribution policy, credible long-term execution versus benchmark – Limited visibility into five-year guidance-accuracy track record from sources reviewed

Portfolio Fit & Risk Controls: 9/15

- Genuine diversification across ~90-100 holdings, no leverage-driven risk – Heavy overlap with mega-cap tech exposure that most investors already hold via index funds; doesn't function as ballast, inflation hedge, or true diversifier for an income-focused portfolio

Total Score: 66/100

Portfolio Comparison

	ADX	GAM (General American Investors)	USA (Liberty All-Star Equity)	JEPI/JEPQ-style covered-call ETF (category alternative)
Better value today	—	Often trades at a wider discount, may be better value	Higher yield, potentially wider discount at times — worth checking current levels	N/A (open-end ETF, no discount mechanic)
More durable dividend	—	Similar structure, historically lower volatility	Lower — value tilt lags growth in strong bull markets, higher expense ratio	More "organic" option income yield, but caps upside
Stronger balance sheet	ADX — lower expense ratio, no leverage confirmed	Comparable (no leverage typically)	Generally comparable, but higher costs	N/A
Better risk-adjusted expected return	Roughly comparable to GAM; slight edge to GAM on Sharpe ratio in some periods	Slight edge on risk-adjusted metrics in some measurement windows	Less favorable given value tilt in a growth-led market	Lower volatility, lower total-return ceiling
Deserves next dollar today	GAM , if trading at a meaningfully wider discount than ADX, offers a similar quality profile with more valuation cushion	—	—	—

If ADX is not the best opportunity in its category: the analysis favors waiting for ADX's own discount to widen, or reallocating fresh capital toward GAM if it is trading at a materially wider discount to its own NAV at the time of purchase — same general profile (long-established, low-leverage, diversified equity CEF) with potentially more valuation

margin of safety. This is a relative-value conclusion, not a rejection of ADX's underlying quality.

Final Decision

● Watchlist (60-69)

- **Overall Score:** 66/100
- **Suggested Entry Range:** Discount to NAV of 8%+ (roughly \$23-\$24 based on current NAV)
- **Fair Value Range:** ~\$23-\$24 (NAV minus historical-average discount)
- **Maximum Allocation:** 3-5% of an income-focused portfolio
- **Buy:** Discount $\geq$ 8%
- **Add:** Discount $\geq$ 12-14% with NAV trend intact
- **Hold:** Discount 0-6%, NAV trend positive
- **Trim:** Price at or above NAV (premium)
- **Sell:** MDP abandoned, or multi-year NAV underperformance vs. S&P 500
- **Key Catalysts to Monitor:** Mega-cap tech sector performance; quarterly distribution source composition (income vs. gains vs. ROC); CEF-sector discount trends
- **Next Earnings/Reporting Event:** Semi-Annual Report to Shareholders (expected ~July 22, 2026 per company guidance) and next quarterly distribution declaration (typically mid-October 2026)
- **Top Three Risks Going Forward:** (1) mega-cap tech drawdown, (2) discount-to-NAV normalization back to historical ~14.5% average, (3) distribution dollar-amount decline in a down market, since payout is NAV-linked rather than fixed
- **One new piece of information that would immediately change the rating to Sell:** A Board announcement suspending or materially weakening the Managed Distribution Policy, or evidence of sustained, structural NAV underperformance versus the S&P 500 over several consecutive years (indicating a genuine loss of management edge rather than normal cyclical variation)

Is the income durable? The *distribution mechanism* is durable — ADX has paid distributions without interruption for nearly a century and operates under a transparent, formulaic policy. The *dollar amount and growth* of that income is not durable in the traditional sense: it is a direct function of NAV and realized capital gains, meaning it will rise in bull markets and fall in bear markets, much like the total return of the underlying equity portfolio itself.

Is today's valuation attractive? No — this is the weakest link in the case. ADX's discount to NAV has compressed to near zero, well inside its 10-year historical average discount of

roughly 14.5%, removing the margin of safety that has historically rewarded patient CEF buyers.

Does this investment deserve the next investment dollar over comparable alternatives? Not today. ADX is a high-quality, low-cost, well-managed vehicle with a genuinely excellent long-term record, but between its NAV-linked (rather than organic) income character and its currently compressed discount, it is better suited to a watchlist than a fresh-money purchase — a wider discount, a peer trading at a bigger discount for similar quality (e.g., GAM), or a market pullback would each meaningfully improve the entry point.